

circumstance would you ever embarrass anyone by quoting the source of any derogatory information. If you follow these rules, banking help can, at times, help complete the stage of an investigation that otherwise might never be complete enough to be of any value.

It is only after “scuttlebutt” has obtained for you a large part of the data that in our chapter on the fifteen points I indicated can best be obtained from such sources, that you should be ready to take the next step and think about approaching the management. I think it rather important that investors thoroughly understand why this is so.

Good managements, those most suitable for outstanding investment, are nearly all quite frank in answering questions about the company's weak points as fully as about its strong points. However, no matter how punctilious a management may be in this respect, no corporate officer in his own self-interest can be expected, unasked, to volunteer some of the most significant matters for you, the investor, to know. How can a vice president to whom you say, “Is there anything else you think I, as a prospective investor, should know about your company?” give a reply to the effect that the other top members of the management team are doing splendidly but several years of poor work by the vice president for marketing is beginning to cause weakness in sales? Could he possibly volunteer further that this may not be too important, since young Williams, on the marketing staff, has outstanding ability and in another six months he will be in charge and the situation brought back under control? Of course he could not volunteer these things. However, I have found that if he learns you already know of the marketing weakness, his remark may be diplomatically worded, but with the right type of management and if they have confidence in your judgment, you will be furnished with a realistic answer as to whether anything is or is not being done to remedy weaknesses of this type.

In other words, only by having what “scuttlebutt” can give you before you approach management, can you know what you should attempt to learn when you visit a company. Without it you may be unable to determine that most basic of points—the competency of top management itself. In even a medium-sized company, there may be a key management team of as many as five men. You are not apt to meet all of them on your first or second visit. If you do, you will probably meet some for such a short time you will have no basis for determining their relative ability. Frequently one or two men of